5 Memorandum of Association

5.1 Meaning and importance

One of the first steps, in the formation of a company is to prepare a document called the memorandum of association. The memorandum of association of a company contains the fundamental conditions upon which alone the company has been incorporated. According to section 2(*56*) of the Companies Act, 2013 "Memorandum" means "Memorandum of association of a company as originally framed or altered from time to time in pursuance of any provision of any previous company law or of this Act". This definition, however, does not state the nature of this document nor is indicative of its importance. According to Palmer, the memorandum of association is a document of great importance in relation to the proposed company. It contains the objects for which the company is formed and therefore identifies the possible scope of its operations beyond which its actions cannot go. It defines as well as confines the powers of the company. If anything is done beyond these powers, that will be *ultra vires* (beyond powers of) the company and so void.

In the celebrated case of *Ashbury Railway Carriage & Iron Co. Ltd.* v. *Riche* [1875] L.R. 7 H.L. 653, Lord Cairns observed : "The memorandum of association of a company defines the limitation on the powers of the company…it contains in it both that which is affirmative and that which is negative. It states affirmatively the ambit and extent of vitality and power which by law are given to the corporation and it states, if it is necessary to state, negatively, that nothing shall be done beyond that ambit. . . ." Thus, it serves two purposes. It enables shareholders, creditors and all those who deal with the company to know what its powers are and what is the range of its activities. An intending shareholder can find out the purposes for which his money is going to be used by the company and what risk he is taking in making the investment. Likewise, anyone dealing with the company, say, the supplier of goods or money, will know whether the transaction he intends to make with the company is within the objects of the company and not *ultra vires* its objects.

5.2 Memorandum of Association - Whether an unalterable charter

It has been observed in certain quarters that the memorandum of association of a company is an unalterable charter of a company. However, in the present day context, it does not appear to be wholly true. Until the year 1890, it was regarded as an unalterable charter of the company. This led to a number of difficulties in the working of companies. Consequently, the Act was amended to provide for the alteration of the various clauses of the memorandum.

As stated by Palmer, "It is a document of great importance in relation to the proposed company." This is the primary document of the company and it is sometimes called the charter or constitution of the company. It contains information about name, address, capital, objects of the company and liability of its members. It defines the relationship of the company with outsiders.

The Memorandum of Association not only defines the powers of the company but also confines them. A company cannot act beyond the powers given to it by the Memorandum. Any action outside the scope of Memorandum shall be void and inoperative. The purpose of the Memorandum is to enable the shareholders, creditors and those who deal with the company to know what is its permitted range of activities. It tells the shareholders the purposes for which their money is likely to be used.

From the above, it is amply clear that Memorandum of Association is a document on the basis of which a company is formed. Therefore, it is but desirable that the clauses of this document should not be allowed to be changed frequently. It is for this purpose that the Companies Act has laid down elaborate rules for making alterations in the Memorandum. Section 13 of the Act provides that except the capital clause (which may be altered by passing an ordinary resolution), a company may, by a special resolution and after complying with the procedure specified in this section, alter the provisions of its memorandum. The provisions referred in section 13 relate to the name, registered office, objects, and liability clauses. These are deemed to be the conditions contained in the Memorandum. For making alterations in the name clause or shifting of the registered office from one State to another, it is necessary to obtain the approval of the Central Government. Again, for alteration of objects by a company which has raised money from public through prospectus and still has any unutilised amount out of the money so raised, shall not change its objects for which it raised the money through prospectus unless the dissenting shareholders have been given an opportunity to exit by the promoters and shareholders having control in accordance with regulations to be specified by the Securities and Exchange Board (SEBI).

Thus, we can state that though Memorandum of Association is the charter of the company, but it is not unalterable. The different clauses of this document can be altered by following the procedure laid down in the Act in this respect.

5.3 Form and contents

Section 4(6) requires that the memorandum of a company shall be drawn up in such a form as is given in Tables A, B, C, D & E in Schedule I to the Act as may be applicable in the case of the company.

Sections 3 and 4 read with section 7 and the Rules made thereunder require the memorandum to be signed by at least seven persons in case of a 'public company' (two in case of 'private company' and only one person, in case of 'one person company') in the presence of at least one witness, who will attest the signature(s). Each of the subscribers must write opposite his name the number of shares he takes.

The signatories to the Memorandum shall add their address, description and occupation. Similar particulars of the witness(es) should also be entered.*

Section 4 requires the *memorandum of a company* to contain the following :

(*a*) the *name of the company*, with 'limited' or 'private limited' as the last word(s) of the name in the case of a public company or a private company, as the case may be**. In case of One Person Company, Section 12 requires that the words 'One Person Company' must be mentioned in brackets below the name of the company;

(*b*) the *name of the State*, in which the registered office of the company is to be situated;

(*c*) the objects for which the company is proposed to be incorporated and any matter considered necessary in furtherance thereof;

(*d*) the liability of members of the company, whether limited or unlimited, and also state,—

(*i*) in the case of a company limited by shares, that liability of its members is limited to the amount unpaid, if any, on the shares held by them; and

(*ii*) in the case of a company limited by guarantee, the amount up to which each member undertakes to contribute—

(*A*) to the assets of the company in the event of its being wound-up while he is a member or within one year after he ceases to be a member, for payment of the debts and liabilities of the company or of such debts and liabilities as may have been contracted before he ceases to be a member, as the case may be; and

(*B*) to the costs, charges and expenses of winding-up and for adjustment of the rights of the contributories among themselves;

(*e*) in the case of a company having a share capital,—

(*i*) the amount of share capital with which the company is to be registered and the division thereof into shares of a fixed amount and the number of shares which the subscribers to the memorandum agree to subscribe which shall not be less than one share; and

(*ii*) the number of shares each subscriber to the memorandum intends to take, indicated opposite his name;

(*f*) in the case of One Person Company, the name of the person who, in the event of death of the subscriber, shall become the member of the company.

It may be noted that the memorandum of association of a company cannot contain anything contrary to the provisions of the Companies Act. If it does, the same shall be devoid of any legal effect (Section 6).

Now, let us discuss in detail, the various clauses of Memorandum of Association.

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*For details, *see* Para 5.3-8a.

**A Government company has been exempted from the requirement of using 'Limited' or 'Private Limited' at the end of its name - *Vide MCA Notification dated 5-6-2015.*

5.3-1 The name clause [Sec. 4(1)(a)]

A company being a distinct legal entity must have a name of its own to establish its separate identity. The promoters are free to choose any suitable name for the company provided :

(*a*) The last word(s) in the name of the company, if limited by shares or guarantee is 'limited' or 'private limited', as the case may be. However, an "association not for profit", and incorporated as a company and licensed by the Central Government, may not use the word 'limited' or 'private limited' as part of its name, even though the liability of its members is limited [Section 8].

(*b*) The name stated in the memorandum is not—

- (*a*) identical with or resemble too nearly to the name of an existing company registered under this Act or any previous company law; or
- (*b*) such that its use by the company—
  - (*i*) will constitute an offence under any law for the time being in force; or
  - (*ii*) is undesirable in the opinion of the Central Government.

Further, a company shall not be registered with a name which contains—

(*a*) any word or expression which is likely to give the impression that the company is in any way connected with, or having the patronage of, the Central Government, any State Government, or any local authority, corporation or body constituted by the Central Government or any State Government under any law for the time being in force. Thus, words like President, Prime Minister, Central, Municipal, Panchayat may not be allowed; or

(*b*) such word or expression, as may be prescribed

5.3-1a UNDESIRABLE NAMES - Rule 8 of the Companies (Incorporation) Rules, 2014, framed by the Central Government under the Companies Act, 2013, in this regard, provides as follows :

(1) A name applied for shall be deemed to resemble too nearly with the name of an existing company if, and only if, after comparing the name applied for with the name of an existing company the names are same.

(2) The following matters are to be disregarded while comparing the names under sub-rule (1):

- In determining whether a proposed name is identical with another, the differences on account of the following shall be disregarded. In other words, the proposed name cannot be merely different with respect to, *inter alia*, the following:
  - (*a*) the words like Private, Pvt, (P), OPC Pvt. Ltd. IFSC Limited, IFSC Pvt. Limited, Producer Limited, Limited, Unlimited, Ltd, Ltd., LLP, Limited Liability Partnership, company, and company, & co, corporation, corp;
  - (*b*) the plural or singular form of words in one or both names. Thus, Green Technology Ltd. is same as Greens Technology Ltd. and Greens Technologies Ltd. But SM Computers Ltd. is not same as SMS Computers Ltd.
  - (*c*) type and case of letters, spacing between letters, punctuation marks and special characters used in one or both names. Thus, (i) ABC Ltd. is same

as A.B.C. Ltd. and A B C Ltd. (ii) TeamWork Ltd. is same as Team@Work Ltd. and Team-Work Ltd.

(*d*) use of different phonetic spellings including use of misspelled words of an expression. For example, Bee Kay Ltd is same as BK Ltd, Be Kay Ltd., B Kay Ltd., Bee K Ltd., B.K. Ltd. and Beee Kay Ltd.

(*e*) use of host name such as 'www' or a domain extension such as '.net.' 'org', 'dot' or 'com' in one or both names. Thus, Ultra Solutions Ltd. is same as Ultrasolutions.com Ltd.

(*f*) the order of words in the names. For example, Ravi Builders and Contractors Ltd. is same as Ravi Contractors and Builders Ltd.

(*g*) use of the definite or indefinite article in one or both names. Thus, Congenial Tours Ltd. is same as A Congenial Tours Ltd. and The Congenial Tours Ltd.

(*h*) complete translation of an existing name, in Hindi or in English. For example, National Electricity Corporation Ltd. is same as Rashtriya Vidyut Nigam Ltd.

(*i*) addition of the name of a place to an existing name, which does not contain the name of any place. For example, If Salvage Technologies Ltd. is an existing name, it is same as Salvage Technologies Delhi Ltd and Salvage Delhi Technologies Ltd.

(*j*) addition, deletion, or modification of numerals or expressions denoting numerals in an existing name, unless the numeral represents any brand. For example, Thunder Services Ltd is same as Thunder 11 Services Ltd and One Thunder Services Ltd.

Again, a name shall be considered undesirable if:-

- it attracts the provisions of section 3 of the Emblems and Names (Prevention and Improper Use) Act, 1950;
- it includes the name of a trade mark registered or a trade mark which is subject of an application for registration under the Trade Marks Act, 1999 and the rules framed thereunder unless the consent of the owner or applicant for registration, of the trade mark, as the case may be, has been obtained and produced by the promoters;
- it includes any word or words which are offensive to any section of the people;
- the proposed name is identical with or too nearly resembles the name of a limited liability partnership;
- the proposed name is identical with or too nearly resembles with a name which is for the time being reserved in accordance with rule 9;
- the company's main business is financing, leasing, chit fund, investments, securities or combination thereof, but the proposed name is not indicative of such related financial activities, viz., Chit Fund or Investment or Loan, etc.;
- the company's name is indicative of activities financing, leasing, chit fund, investments, securities or combination thereof, but the company's main business is not related to such activities;

- it resembles closely the popular or abbreviated description of an existing company or limited liability partnership;
- the proposed name is identical with or too nearly resembles the name of a company or limited liability partnership incorporated outside India and reserved by such company or limited liability partnership with the Registrar:

  However, if a foreign company is incorporating its subsidiary company in India, then the original name of the holding company as it is may be allowed with the addition of word India or name of any Indian State or city, if otherwise available;
- any part of the proposed name includes the words indicative of a separate type of business constitution or legal person or any connotation thereof e.g. co-operative, sehkari, trust, LLP, partnership, society, proprietor, HUF, firm, Inc., PLC, GmbH, SA, PTE, Sdn, AG, etc.

Explanation. - For the purposes of this clause, it is hereby clarified that the name including phrase 'Electoral Trust' may be allowed for registration of companies to be formed under section 8 of the Act, in accordance with the Electoral Trusts Scheme, 2013 notified by the Central Board of Direct Taxes (CBDT):

Provided that name application is accompanied with an affidavit to the effect that the name to be obtained shall be only for the purpose of registration of companies under the said Electoral Trust Scheme as notified by the Central Board of Direct Taxes;

- the proposed name contains the words 'British India';
- the proposed name implies association or connection with an embassy or consulate of a foreign government;
- the proposed name includes or implies association or connection with or patronage of a national hero or any person held in high esteem or important personages who occupied or are occupying important positions in the Government;
- the proposed name is identical to the name of a company dissolved as a result of liquidation proceeding and a period of two years has not elapsed from the date of such dissolution.

In case, the proposed name is identical with the name of a company which is struck off in pursuance of action under section 248 of the Act or under section 560 of the Companies Act, 1956 (1 of 1956) then the same shall not be allowed before the expiry of twenty years from the date of publication in the Official Gazette being so struck off;

- it is identical with the name of a limited liability partnership in liquidation or the name of a limited liability partnership which is struck off up to a period of five years;
- the proposed name includes words such as 'Insurance', 'Bank', 'Stock Exchange', 'Venture Capital', 'Asset Management', 'Nidhi', 'Mutual Fund', etc., unless a declaration is submitted by the applicant that the requirements mandated by the respective regulator, such as IRDA, RBI, SEBI, MCA, etc. have been complied with by the applicant;

- the proposed name includes the word "State", in case the company is not a Government company;
- the proposed name is containing only the name of a continent, country, State, city such as Asia Limited, Germany Limited, Haryana Limited or Mysore Limited;
- Use of descriptive names, where the name merely consists of commonly used words to describe an activity.

5.3-1b TOO SIMILAR NAME - In case of too similar names, the resemblance between the names must be such as is likely to deceive. A name is likely to deceive where it suggests some connection or association with an existing company.

Examples

In *Ewing* v. *Buttercup Margarine Co. Ltd.* [1917], the plaintiff who carried on business under the name of Butter Cup Dairy Co. succeeded in obtaining an injunction against the defendant on the ground that the public might think that the two businesses were connected since the word 'Buttercup' was an unnecessary and fancy one. Again, in *Montari Overseas Ltd.* v. *Montari Industries Ltd.* [1996] 20 CLA 313 (Delhi), it was held that the name adopted was sufficiently close to the name under which the respondent was trading, acquired a reputation and the public at large was likely to be misled. The same principle of law which applied to an action for passing off of a trade-mark would apply more strongly to the passing off a trade or corporate name of one for the other. The appellant was liable for an action in passing off.

However, merely that few words are common may not render the name too identical and thus undesirable. Thus, in *Society of Motor Manufactures & Traders Limited* v. *Motor Manufactures & Traders Mutual Assurance Limited* [1925], the plaintiff company brought an action to restrain the defendant company from using the said name. But, Lawrence, J., held "anyone who took the trouble to think about the matter, would see that the defendant company was an insurance company and that the plaintiff society was a trade protection society and I do not think that the defendant company is liable to have its business stopped unless it changes its name simply because a thoughtless person might unwarrantedly jump to the conclusion that it is connected with the plaintiff society". Similarly, in *Asiatic Government Security Life Assurance Company Ltd.* v. *New Asiatic Insurance Company Limited* [1939], the Court held the two names were not too identical and therefore, did not restrain the respondents.

Again, in *Executive Board of Methodist Church in India* v. *Union of India* [1985] 57 Comp. Cas. 443 (Bom.), the Methodist Church in India sought registration of a company in the name of 'Methodist Church in India Trust Association'. There was already existing a company bearing the name Methodist Church in Northern India Trust Association (P.) Ltd. in Calcutta. The former secretary of the latter association informed the Registrar that the said company had not functioned since 1970; that no annual report or minutes had been filed with the Registrar since 1970; and that some directors died and some had left. The question was whether in these circumstances the Calcutta Company was a bar to the registration of the new company. *Held,* if a company is practically defunct, it is not a bar to registration of a new company with a similar name.

Geographical Names - How far the property of an existing company? - Geographical names are available for use by any one choosing to adopt them as part of the name of the business enterprise. It is only in a rare case where the name has been used very extensively for a long period, is so well known in the market as to be identified in the public mind with the product or service rendered by the business enterprise, that the court may consider granting injunctive relief to a plaintiff - *Manipal Housing Finance Syndicate Ltd.* v. *Manipal Stock and Share Brokers Ltd.* [1999] 98 Comp. Cas. 432 (Mad.).

Thus, whether a name is too similar or not and therefore it shall be allowed or not is a question in each case, one of fact.

5.3-1c PUBLICATION OF NAME (SEC. 12) - Sub-section (3) of Section 12 provides that every company shall—

(*a*) paint or affix its name, and the address of its registered office, and keep the same painted or affixed, on the outside of every office or place in which its business is carried on, in a conspicuous position, in legible letters and in the language in general use in the locality. The words 'outside of every office' do not mean outside the premises in which the office is situate - *Dr. H.L. Batliwalla Sons & Company Ltd.* v. *Emperor* [1941] 11 Comp. Cas. 154 (Bom.). Where office is situated within a compound, the display outside the office room though inside the building is sufficient;

(*b*) have its name engraved in legible characters on its seal;

(*c*) get its name, address of its registered office and the Corporate Identity Number along with telephone number, fax number, if any, e-mail and website addresses, if any, printed in all its business letters, bill heads, letter papers and in all its notices and other official publications; and

(*d*) have its name printed on *hundies*, promissory notes, bills of exchange and such other documents as may be prescribed.

(*e*) ***Company conducting online business:*** Every company which has a website for conducting online business or otherwise, shall disclose/publish its name, address of its registered office, the Corporate Identity Number, Telephone number, fax number if any, email and the name of the person who may be contacted in case of any queries or grievances on the landing/home page of the said website.

The Central Government may as and when required, notify the other documents on which the name of the company shall be printed. - Companies (Incorporation) Rules, 2014, as amended dated 27.7.2016.

However, where a company has changed its name or names during the last two years, it shall paint or affix or print, as the case may be, along with its name, the former name or names so changed during the last two years.

In case of 'one person company', the words "One Person Company" shall be mentioned in brackets below the name of such company, wherever its name is printed, affixed or engraved.

Penalty: If a company does not paint or affix its name and the address of its registered office in the prescribed manner. If any default is made in complying with the requirements of this section, the company and every officer who is in default shall be liable to a penalty of one thousand rupees for every day during which the default continues but not exceeding one lakh rupees.

Besides, sub-section (4) makes an officer of a company or any person on its behalf who signs or authorises to be signed on behalf of the company any bill of exchange, hundi, promissory note, or cheque, etc., wherein the name of the company is not mentioned in the prescribed manner, personally liable to the holder of such bill of exchange, hundi, promissory note, cheque etc., for the amount thereof unless it is paid by the company.

5.3-2 The registered office clause [Sec. 4(1)(b)]

This clause states the name of the State in which the registered office of the company will be situated. Every company must have a registered office which establishes its domicile and is also the address at which the company's statutory books must normally be kept and to which notices and other communications can be sent. A company shall, **within thirty days** of its incorporation and at all times thereafter, have a registered office capable of receiving and acknowledging all communications and notices as may be addressed to it[1].

Verification of the Registered Office

Sub-section (2) of Section 12 of the Companies Act, 2013 requires that the company must furnish to the Registrar verification of its registered office within a period of thirty days of its incorporation by filing any of the prescribed documents.

Again, notice of every change of the situation of the registered office, verified in the manner prescribed, after the date of incorporation of the company, shall be given to the Registrar within thirty days[2] of the change, who shall record the same.

Rule 25 of the Companies (Incorporation) Rules, 2014, in this regard, provides as follows :

1. The verification of the registered office shall be filed in Form No. INC-22 along with the prescribed fee; and
2. There shall be attached to the Form, any of the following documents, namely—
    (*a*) Registered document of the title of the premises of the registered office in the name of the company; or
    (*b*) Notarized copy of lease/rent agreement in the name of the company along with a copy of rent paid receipt not older than one month;
    (*c*) Authorization from the owner or authorized occupant of the premises along with proof of ownership or occupancy authorization, to use the premises by the company as its registered office; and
    (*d*) Proof of evidence of any utility service like telephone, gas, electricity, etc. depicting the address of the premises in the name of the owner or document, as the case may be, which is not older than 2 months.

Active Company Tagging Identities and Verification (ACTIVE)

As per Rule 25A, added by the Companies Incorporation (Amendment) Rules, 2019, every company incorporated on or before the 31st December, 2017 shall file the particulars of the company and its registered office, in e-Form ACTIVE (Active Company Tagging Identities and Verification) on or before 25.04.2019. However,

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1. *Vide* Companies (Amendment) Act, 2017 [Earlier it was 15 days].
2. *Vide* Companies (Amendment) Act, 2017 [Earlier it was 15 days].

any company which has not filed its due financial statements under section 137 or due annual returns under section 92 or both with the Registrar shall be restricted from filing e-Form-ACTIVE, unless such company is under management dispute and the Registrar has recorded the same on the register. Again, companies which have been struck off or are under process of striking off or under liquidation or amalgamated or dissolved, as recorded in the register, shall not be required to file e-Form ACTIVE.

In case a company does not intimate the said particulars, the Company shall be marked as "ACTIVE-non-compliant" on or after 26th April, 2019 and shall be liable for action under sub-section (9) of section 12 of the Act.

Further, changes with respect to Authorized Capital; Paid-up Capital; Director; Registered Office; Amalgamation, demerger shall not be taken on record.

Where a company files "e-Form ACTIVE", on or after 26th April, 2019, the company shall be marked as "ACTIVE Compliant", on payment of fee of ten thousand rupees".

5.3-3 The objects clause [Section 4(1)(c)]

The objects clause defines the objects of the company and indicates the sphere of its activities. As per Section 4(1)(*c*), in this clause must be stated the objects for which the company is proposed to be incorporated and any matter considered necessary in furtherance thereof.

A company cannot do anything beyond or outside its objects and any act done beyond that will be *ultra vires* and void and cannot be ratified even by the assent of the whole body of shareholders. However, a company may do anything which is incidental to and consequential upon the objects specified and such act will not be an *ultra vires* act— *Attorney General* v. *G.E. Rly. Co.* [1880]. For example, a trading company has an implied power to borrow money and draw and accept bills of exchange.

The objects of the company must not be illegal, immoral or opposed to public policy or in contravention of the Act. *For example,* a public limited company cannot finance purchase of its own shares [Section 67(2)].

5.3-4 Doctrine of ultra vires[3]

A company which owes its incorporation to statutory authority cannot effectively do anything beyond the powers expressly or impliedly conferred upon it by the statute or memorandum of association. Any purported activity beyond such powers will be ineffective even if agreed to by all the members. This rule is commonly known as *'doctrine of ultra vires'*. The word *'ultra'* means beyond and the word *'vires'* means the powers. *'Ultra vires'*, therefore, means beyond the powers. So, when used with reference to a company, it means beyond the powers of the company. The powers of a company are essentially derived from the statute constituting it and the memorandum of association.

3. It may be of interest to note that the 'Doctrine of ultra vires' has been given a go-bye by the English Companies (Amendment) Act, 1989. Any document signed or contract entered by any officer on behalf of the company even beyond the powers of the company is now binding against the company in England. The company may, of course, proceed against the erring officer.

After the advent of Joint Stock Companies, the rule of *ultra vires* was for the first time laid down by the House of Lords in *Ashbury Rly. Carriage & Iron Company* v. *Riche* [1875] LR 7 HL 653. In this case, the object of the doctrine was explained by Lord Justice Cairns as follows :

(*i*) to protect investors of the company so that they may know the objects in which their money is to be employed; and

(*ii*) to protect the creditors by ensuring that the company funds, to which they must look for payment are not dissipated in unauthorised activities.

In *Ashbury Rly. Carriage and Iron Co.* v. *Riche* (*supra*), the company had been formed with the object of carrying on business as 'Mechanical Engineers and General Contractors'[4]. The contractors entered into an agreement for financing the construction of a railway in Belgium and there was evidence that the agreement had been ratified by all the members. The company repudiated the agreement and was sued for breach of contract. The other party brought an action for damages for breach of contract. His contentions were: *firstly,* that the contract in question came well within the meaning of the words 'general contractors' and, was, therefore, within the powers of the company, and *secondly,* that the contract was ratified by the majority of the shareholders.

The Court held that the term 'general contractors' must be taken to indicate the making generally of such contracts as were connected with the business of mechanical engineers. If, the term 'general contractors' was not so interpreted, it would authorise the making of contracts of any kind and every description, such as, for instance, fire and marine insurance and the memorandum in place of specifying the particular kind of business, would virtually allow the carrying on business of any kind whatsoever and would, therefore, be altogether unmeaningful. Hence the contract was entirely beyond the objects in the Memorandum of Association.

The doctrine of *ultra vires* has been upheld in a large number of Indian cases also. In the case of *Lakshmanaswami Mudaliar* v. *L.I.C.* AIR 1963 SC 1185, the directors of the company were authorised 'to make payments towards any charitable or any benevolent object or for any general public or useful object'. In accordance with shareholders' resolution, the directors paid Rs. 2 lakhs to a trust for the purpose of promoting technical and business knowledge. The company's business having been taken over by LIC, it had no business left of its own. The Supreme Court held that the payment was *ultra vires* the company. They could spend for the promotion only on such charitable objects as would be useful for the attainment of the company's own objects.

It may, however, be noted that section 3(1)(*c*) of the Act provides that any matter considered necessary in furtherance of the main objects can well be pursued. Thus, in case any incidental object has not been specified, it would be allowed by the principle of reasonable construction of the memorandum.

Doctrine of* ultra vires - *An illusory protection - It is important to note that the *ultra vires* doctrine is now-a-days very largely frustrated by the ingenuity of company promoters, who, by enumerating all objects possible under the sun have in actual

4. There were, however, other specified objects, but it was conceded that this was the only relevant one.

practice fouled the doctrine and made it ineffective, except in very rare cases. *For example,* in the case of *Bell Houses Limited* v. *City Wall Properties Limited* [1966] 36 Comp. Cas. 779, the objects clause included a power 'to carry on any other trade or business whatsoever which can, in the opinion of the Board of directors, be advantageously carried on by the company'. The said clause was held to be quite in order by the court.

Implied powers: As made out in the doctrine of *ultra vires,* the powers exercisable by a company are to be confined to the objects specified in the memorandum. However, the powers exercisable in respect of the objects specified may be express or implied. Every company, in fact, possesses certain powers by virtue of its being an incorporated body, such as, *for instance,* a power to appoint and act through agents, and where it is a trading company, a power to borrow and give security for the purposes of its business, and also a power to sell. Such powers as these are incidental or properly to be inferred from the powers expressed in the memorandum—*Oak Bank Oil Company* v. *Crum* [1882] 8 App. Cas. 65.

As regards implied powers, the rule is to assume that "quite apart from any general words in a company's memorandum, it has power to do all that is reasonably necessary for attaining its objects. The Courts have become increasingly ready to imply powers of this nature" (*Palmer's Company Precedents,* 17th Edn., Part I, page 278).

Powers which are not implied[5] : The following powers have been held not to be implied and it is, therefore, prudent in cases where deemed necessary, to include them expressly in the objects—

(*i*) acquire any business similar to company's own— *Ernest* v. *Nicholls* [1857] 6 HLC 401;

(*ii*) entering into an agreement with other persons or companies for carrying on business in partnership or for sharing profits, joint adventure or other arrangements. Very clear powers are necessary to justify such transactions - *Re European Society Arbitration Act* [1878] 8 Ch. 679;

(*iii*) taking shares in other companies having similar objects *Re Barned's Banking Company, ex parte. The Contract Corporation* [1867] 3 Ch. App. 105; *Re William Thomas & Co. Ltd.* [1915] 1 Ch. 325;

(*iv*) taking shares of other companies where such investment authorises doing indirectly that which will not be *intra vires,* if done directly;

(*v*) promoting other companies or helping them financially— *Joint Stock Discount Company* v. *Brown* [1869] LR 8 Eq 381;

(*vi*) a power to use funds for political purposes;

(*vii*) a power to give gift and make donations or contributions for charities not relating to the objects stated in the memorandum;

(*viii*) a power to sell and dispose of the whole of a company's undertaking;

(*ix*) entering into contracts of suretyship or guarantee;

(*x*) the making of loans by a company not engaged in financing or banking business.

5. A. Ramaiya, Guide to the Companies Act, Twelfth Edn., 1992, page 160.

Effects of* ultra vires *transactions

(1) *Void ab initio*: The *ultra vires* acts are *null* and *void ab initio.* The company is not bound by these acts; even the company cannot sue or be sued upon it— *Ashbury Railway Carriage and Iron Company* v. *Riche* (*supra*).

However, in *NEPC India Ltd.* v. *Registrar of Companies* [1999] 22 SCL 94, the Madras High Court has held that a complaint alleging that a company was indulging in activities not mentioned in the objects clause of the Memorandum of Association had to be filed within six months of the date of knowledge.

(2) *Injunction* : In case a company is about to undertake an *ultra vires* act, the members (even a single member) can get an order of injunction from the Court restraining the company from going ahead with the *ultra vires* act.— *Attorney General* v. *G.R. Eastern Railway Company* [1880] 5 AC 473.

(3) *Personal Liability of Directors:* It is one of the duties of directors to ensure that the corporate capital is used only for the legitimate business of the company and hence if such capital is diverted into purposes foreign to company's memorandum, the directors will be personally liable to replace it. In *Jehangir R. Modi* v. *Shamji Ladha* [1866-67] 4 Bom. HCR 1855, the Bombay High Court held 'a shareholder can maintain an action against the directors to compel them to restore to the company the funds of the company that have been employed in a transaction that they have no authority to enter into without making the company a party to the suit'.

In case of deliberate misapplication, criminal action can also be taken for fraud.

However, a distinction must be drawn between transactions which are *ultra vires* the company and the transactions which are *ultra vires* the directors. Where the directors exceed their authority and do something, the same may be ratified by the general body of the shareholders provided the company has the capacity to do that transaction as per its memorandum of association.

Example

The company has power to borrow money but the articles of the company provide that in case the directors borrow more than Rs. 5 lakhs they should get prior approval of the company in general meeting. The directors issue debentures to the extent of Rs. 7 lakhs without getting the approval from the shareholders. The company in general meeting may ratify the act of directors as it is *intra vires* the company though *ultra vires* the powers of the directors of the company.

(4) *Acquisition of property that is* ultra vires : Where a company's money has been used *ultra vires* to acquire some property, the company's right over such property is held secured. Besides, the company will be the right party to protect such property against damage by third persons. It is because, though the property has been acquired for some *ultra vires* object, it represents the money of the company.

(5) *Directors personally liable to third parties*: In respect of *ultra vires* transactions, directors and other officers shall be personally accountable to third parties.

5.3-5 Liability clause [Sec. 4(1)(d)]

This clause states the nature of liability of the members. In the case of a company with limited liability, it must state that liability of members is limited, whether it be by shares or by guarantee. This means that in the case of a company limited by shares, a member can be called upon at any time to pay to the company the amount unpaid on the shares. Thus, if his shares are fully paid-up, his liability is *nil.* Where a shareholder holding a 10-rupee share has paid Rs. 5 on it, he can be called upon to pay the balance of Rs. 5. But if he has paid the full value of Rs. 10, he cannot be required to pay anything more even if the company owes huge debts to its creditors.

In the case of companies limited by guarantee, this clause will state the amount which every member undertakes to contribute to the assets of the company in the event of its being wound up.

Specimen Liability Clause under the Memorandum of Association of Guarantee Company not having a share capital:

> *"Every member of the company undertakes to contribute:*
>
> *(i) to the assets of the company in the event of its being wound up while he is a member, or within one year after he ceases to be a member, for payment of the debts and liabilities of the company or of such debts and liabilities as may have been contracted before he ceases to be a member; and*
>
> *(ii) to the costs, charges and expenses of winding up (and for the adjustment of the rights of the contributories among themselves), such amount as may be required, not exceeding................................rupees".*

In the case of unlimited liability company, whether having share capital or not, this clause shall state that the liability of its members is unlimited.

5.3-6 The capital clause [Sec. 4(1)(e)]

This clause must indicate the amount of capital with which the company is registered, and is known as Registered or Authorized or Nominal capital.

As per section 4(1)(*e*), in the case of a company having a share capital, the memorandum must state the amount of share capital with which the company is to be registered and the division thereof into shares of a fixed amount and the number of shares which the subscribers to the memorandum agree to subscribe which shall not be less than one share.

In the case of a public company having a share capital, a share may be either a Preference Share or an Equity share. Thus, a company's capital may be Preference share capital and Equity share capital. This clause shall state the number and value of shares into which the capital of the company is divided.

These shares are of a certain fixed value or amount. This fixed value is known as the "Par" or "nominal" value of a share. Thus, the nominal value of an equity share may be, say, Rs.10, and that of a preference share, say, Rs.100.

The effect of this clause is that the company cannot issue more shares than stated under this clause without altering the Memorandum as per Section 61 of the Companies Act, 2013.

5.3-7 Name of a nominee in case of 'One Person Company' [Sec. 4(1)(f)]

In the case of One Person Company, the Memorandum must state the name of the person who, in the event of the death of the subscriber, shall become the member of the company.

5.3-8 The association or subscription clause [Sec. 4(1)(e)]

At the end of the Memorandum of every company there is an association or subscription clause in which the subscribers to the Memorandum of Association make the following declaration :

> "We, the several persons, whose names and addresses are subscribed, are desirous of being formed into a company in pursuance of this memorandum of association, and we respectively agree to take the number of shares in the capital of the company set against our respective names."

In case of 'One Person Company', the declaration made shall be as follows :

> "I, whose name and address is given below, am desirous of forming a company in pursuance of this memorandum of association and agree to take all the shares in the capital of the company."

According to Section 3 of the Act, the Memorandum shall be signed by at least seven subscribers in case of a public company, at least two subscribers in case of a private company and one subscriber where the company to be formed is One Person Company.

5.3-8a THE STATUTORY REQUIREMENTS REGARDING SUBSCRIPTION OF MEMORANDUM :— *The statutory requirements regarding subscription of memorandum are*[6] *:*

1. **Signing of the Memorandum and Articles:** The memorandum and articles of association of the company shall be signed by each subscriber to the memorandum, who shall add his name, address, description and occupation, if any, in the presence of at least one witness who shall attest the signature and shall likewise sign and add his name, address, description and occupation, if any and the witness shall state that "I witness to subscriber/ subscriber(s), who has/have subscribed and signed in my presence (date and place to be given); further I have verified his or their Identity Details (ID) for their identification and satisfied myself of his/her/their identification particulars as filled in"

   Where a subscriber to the memorandum is illiterate, he shall affix his thumb impression or mark which shall be described as such by the person, writing for him, who shall place the name of the subscriber against or below the mark and authenticate it by his own signature and he shall also write against the name of the subscriber, the number of shares taken by him.

   Such person shall also read and explain the contents of the memorandum and articles of association to the subscriber and make an endorsement to that effect on the memorandum and articles of association.

   Type written or printed particulars of the subscribers and witnesses shall be allowed provided the same are duly signed or bear the thumb impression of the subscriber or witness, as the case may be w.e.f. 27-7-2016).

   Where the subscriber to the memorandum is a body corporate, the memorandum and articles of association shall be signed by director, officer or employee of the body corporate duly authorized in this behalf by a resolution of the board of directors of the body corporate and ***where the subscriber is a Limited Liability Partnership***, it shall be signed by a partner

6. Section 4(1)(*e*) read along with Rule 13 of the Companies (Incorporation) Rules, 2014.

of the Limited Liability Partnership, duly authorized by a resolution approved by all the partners of the Limited Liability Partnership. However, in either case, the person so authorized shall not, at the same time, be a subscriber to the memorandum and articles of association.

Again, where subscriber to the memorandum is a foreign national residing outside India, the signing will be as per the prescribed procedure.

2. Each subscriber must take at least one share.
3. Each subscriber must write opposite his name the number of shares he takes [Section 4(1)(*e*)].

5.4 Alteration of memorandum

Section 13 provides that the company cannot alter the conditions contained in memorandum except in the cases and in the mode and to the extent express provisions have been made in the Act. These provisions are explained herein below.

5.4-1 Change of name

5.4-1a CHANGE OF NAME AT THE INSTANCE OF THE COMPANY : Section 13 provides that the name of a company may be changed at any time *by passing a special resolution* at a general meeting of the company and with the written approval of the Central Government. However, no approval of the Central Government is necessary if the change of name involves only the addition or deletion of the word "private" (*i.e.*, when public company is converted into a private company or *vice versa*).

In case of a listed company, SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 require that for change of its name the listed company must comply with the following conditions:

(*a*) a time period of at least one year must have elapsed from the last name change;

(*b*) at least fifty per cent of the total revenue in the preceding one year period must have been accounted for by the new activity suggested by the new name; or

(*c*) the amount invested in the new activity/project is at least fifty per cent of the assets[7] of the listed entity.

Procedure

(1) On satisfaction of the aforesaid conditions, the company shall file an application for name availability with Registrar of Companies*.

(2) On receipt of confirmation regarding name availability from Registrar of Companies*, the company, if a listed entity, shall seek approval from Stock Exchange by submitting a certificate from chartered accountant stating compliance with aforesaid conditions.

7. 'assets' of the listed entity means the sum of fixed assets, advances (amounts extended to contractors and suppliers towards execution of project, specific to new activity as reflected in the new name), works in Progress/Inventories, investments, trade receivables, cash & cash equivalents

*Now Registrar of Central Registration Centre.

(3) The company shall file with the Registrar

(*a*) the special resolution passed by the company; and

(*b*) the approval of the Central Government.

When any change in the name of a company is made, as aforesaid, the Registrar shall enter the new name in the register of companies in place of the old name and issue a fresh certificate of incorporation in Form 2.27 with the new name and the change in the name shall be complete and effective only on the issue of such a certificate.

5.4-1b CHANGE OF NAME ON A DIRECTION FROM THE CENTRAL GOVERNMENT : If through inadvertence or otherwise, a company on its first registration or on its registration by a new name has been registered with a name which, in the opinion of the Central Government, is identical with or too closely resembles the name of an existing company, the company may change its name within a period of *three months* from the issue of such direction by passing an ordinary resolution and by obtaining the approval of the Central Government in writing [Sec. 16].

Ministry of Corporate Affairs *vide* its Notification No. G.S.R. 503(E), dated 22 July, 2021 has amended the Companies (Incorporation) Rules, 2014. A new Rule, namely Rule 33A has been added w.e.f 1st September, 2021.

Rule 33A provides as follows:

In case a company fails to change its name or new name, as the case may be, in accordance with the direction issued under sub-section (1) of section 16 of the Act within a period of three months from the date of issue of such direction, the letters "ORDNC" (which is an abbreviation of the words "Order of Regional Director Not Complied"), the year of passing of the direction, the serial number and the existing Corporate Identity Number (CIN) of the company shall become the new name of the company without any further act or deed by the company, and the Registrar shall accordingly make entry of the new name in the register of companies and issue a fresh certificate of incorporation in Form No. INC-11C.

However, the aforesaid change shall not be made if e-form INC-24 filed by the company is pending for disposal at the expiry of three months from the date of issue of direction by Regional Director, unless the said e-form is subsequently rejected.

A company whose name has been changed under sub-rule (1) shall at once make necessary compliance with the provisions of section 12 of the Act and the statement, "Order of Regional Director Not Complied (under section 16 of the Companies Act, 2013)" shall be mentioned in brackets below the name of company, wherever its name is printed, affixed or engraved:

Provided that no such statement shall be required to be mentioned in case the company subsequently changes its name in accordance with the provisions of section 13 of the Act.

Again, the company may change its name by following the aforesaid procedure, where an application has been made to the Central Government by a registered proprietor of a trade mark within three years of incorporation or registration or change of name of the company and, in the opinion of the Central Government, the name is identical with or too nearly resembles a registered trade mark of such proprietor under the Trade Marks Act, 1999. Where such a direction is made by the

Central Government, the company shall change its name or new name, as the case may be, within a period of *six months* from the issue of such direction.

In *CGMP Pharmaplan (P.) Ltd.* v. *Regional Director, Ministry of Corporate Affairs,* [2011] 105 SCL 675 (Delhi), NNE Pharmaplan (P.) Ltd., filed a representation before Regional Director under section 22 (*now section 16*) seeking a direction that petitioner-company incorporated on a later date with name cGMP Pharmaplan (P.) Ltd. should change its name. Regional Director concluded that use by petitioner of word "Pharmaplan" in its name would have a misleading effect in mind of general public and as such, it was a fit case for issue of direction under section 22(1)(*b*) (*now section 16*) and directed petitioner to delete word 'Pharmaplan' from its existing name and change its name to some other name. The Delhi High Court held that since names of both companies structurally and phonetically too nearly resembled each other, Regional Director was right in directing petitioner to change its name.

In *Vardhman Crop Nutrients (P.) Ltd.* v. *Union of India* [2015] 59 taxmann.com 335 (Punjab and Haryana), Vardhaman Fertilizers and Seeds (P.) Ltd. was incorporated on 9.7.1987. It was engaged in the business of manufacturing and marketing Class I fertilizers, water soluble fertilizers and micro nutrients. The company got registered its Trade Mark 'Vardhaman' with the Trade Mark Registry on 8.2.2007 and the same was valid for a period of ten years up to 8.2.2017. Vardhaman Crop Nutrients (P.) Ltd. was incorporated on 29.5.2009 and started its business of manufacturing and marketing Class I fertilizers, water soluble fertilizers and micro nutrients, i.e., similar to the business of Vardhaman Fertilizers and Seeds (P.) Ltd., the respondent. On 11.10.2011, the respondent company filed an application under section 16 (section 22 of the 1956 Act) seeking direction to the appellant-company to change its name by removing 'Vardhman' from its name as the same was causing great loss of business, reputation and goodwill of the respondent company.

Held that 'Vardhaman' was the registered trade mark of the respondent company since 8.2.2007 and, therefore, use of the same brand by the appellant-company which was in the same business was undesirable and thus directed the appellant company to change its name.

When registration is granted and when question is of change or giving direction to company to change name, it can also be said that direction to company under section 22 (now section 16) is in nature of quasi-judicial power and, therefore, authority taking decision must record reasons so that grounds on which order is passed are known - *Pino Bisazza Glass (P.) Ltd.* v. *Bisazza India Ltd.* [2003] 43 SCL 666 (Guj.).

As per Rule 29(1) of the Companies (Incorporation) Rules, 2014, as amended dated 27.7.2014, the change of name shall not be allowed to a company which has not filed annual returns or financial statements due for filing with the Registrar or which has failed to pay or repay matured deposits or debentures or interest thereon.

However, the change of name shall be allowed upon filing necessary documents or payment or repayment of matured deposits or debentures or interest thereon as the case may be.

Where a company changes its name or obtains a new name under sub-section (1) of section 16, it shall within a period of fifteen days from the date of such change, give notice of the change to the Registrar along with the order of the Central

Government, who shall carry out necessary changes in the certificate of incorporation and the memorandum [Section 16(2)].

If a company is in default in complying with any direction given under sub-section (1), the Central Government shall allot a new name to the company in such manner as may be prescribed.

The Registrar shall enter the new name in the register of companies in place of the old name and issue a fresh certificate of incorporation with the new name, which the company shall use thereafter.

However, a company may subsequently change its name in accordance with the provisions of section 13.

Effect of change of name:

(*i*) The change of name shall not affect any rights/obligations of the company or render the same defective in legal proceedings by or against it. Moreover, any legal proceedings which might have been continued or commenced by or against the company by its former name may be continued by or against the company by its new name.

Where a company changes its name and the new name has been registered by the Registrar, the commencement of legal proceedings in the former name is not competent—*Malhati Tea Syndicate Ltd.* v. *Revenue Officer* [1973] 43 Comp. Cas. 337.

(*ii*) However, if any legal proceeding is commenced, after change of name, against the company, in its old name, it is a case of mere misdescription and not a case of proceeding against a person not in existence. It is not an incurable defect and plaint can be amended to substitute the new name - *Pioneer Protective Glass Fibre (P.) Ltd.* v. *Fibre Glass Pilkington Ltd.* [1986] 60 Comp. Cas. 707 (Cal.).

(*iii*) *By change of name, constitution of company does not change*: In *Economic Investment Corporation Ltd.* v. *CIT* [1970] 40 Comp. Cas. 1 (Cal.) it was held that by change of name, the constitution of the company is not changed. The only thing that changes is its name; all the rights and obligations under the law of the old company pass to the new company. It is not similar to the reconstitution of a partnership, which in law means creation of a new legal entity altogether.

Where a company 'M' changed its name to 'E' on 23-9-1947 and it was assessed to income-tax in the name of 'M' for the year 1946-47, and in the course of certificate proceedings for the recovery of tax, a notice was sent to Bank 'A' who was holding money in the account of the company in the name of 'E', for payment of tax, it was held that the bank was holding money for 'M' which was the assessee.

5.4-2 Change of registered office

This may include—

5.4-2a CHANGE OF REGISTERED OFFICE FROM ONE PREMISES TO ANOTHER PREMISES IN THE SAME CITY, TOWN OR VILLAGE [SEC. 12] - A company can change its registered office from one place to another within the local limits of the city, town or village where it is situated, by passing a resolution of the Board of directors. However, the company should inform the Registrar the new address within 15 days of the change who shall record the same.

5.4-2b CHANGE OF REGISTERED OFFICE FROM ONE TOWN OR CITY OR VILLAGE TO ANOTHER TOWN OR CITY OR VILLAGE IN THE SAME STATE [SECTION 12] - In this case the following procedure is to be followed:

(*i*) ***Special resolution*** - A special resolution is required to be passed at a general meeting of the shareholders.

(*ii*) ***Confirmation of Regional Director*** - Confirmation of the Regional Director is to be obtained where the change is from jurisdiction of one Registrar of Companies to the jurisdiction of another Registrar of Companies. The application to the Regional Director shall be made in Form INC-23 along with the fee and following documents[8],

- Board Resolution for shifting of registered office;
- Special Resolution of the members of the company approving the shifting of registered office;
- a declaration given by the Key Managerial Personnel or any two directors authorised by the Board, that the company has not defaulted in payment of dues to its workmen and has either the consent of its creditors for the proposed shifting or has made necessary provision for the payment thereof;
- a declaration not to seek change in the jurisdiction of the Court where cases for prosecution are pending;
- acknowledged copy of intimation to the Chief Secretary of the State as to the proposed shifting and that the employees interest is not adversely affected consequent to proposed shifting.

The Regional Director shall communicate the confirmation within a period of thirty days from the date of receipt of application to the company.

As per Rule 28, as amended by the Companies (Incorporation) Second Amendment Rules, 2017, an application seeking confirmation from the Regional Director for shifting the registered office from the jurisdiction of one Registrar to the other, shall be filed by the company with the Regional Director in Form No. INC 23 along with the fee and following documents:

(*a*) Board Resolution for shifting of registered office;

(*b*) Special resolution of the members of the company approving the shifting of the registered office;

(*c*) A declaration given by the Key Managerial Personnel or any two directors authorized by the Board that the company has not defaulted in payment of dues to the workers and has either the consent of the creditors for the proposed shifting or has made necessary provision for the payment thereof;

(*d*) A declaration not to seek change in the jurisdiction of the Court where cases for prosecution are pending;

8. The Companies (Incorporation) (Second Amendment) Rules, 2017.

(*e*) Acknowledged copy of intimation to the Chief Secretary of the State as to the proposed shifting and that the employees interest is not adversely affected consequent to proposed shifting.

(*iii*) ***Copy of special resolution and confirmation by Regional Directors to be filed with ROC*** - A copy of the special resolution, as aforesaid, is to be filed with the Registrar within 30 days (Section 117). Copy of the confirmation by Regional Director shall be filed with the Registrar of Companies within 60 days of the date of confirmation. The Registrar is required to register the same and certify the registration within 30 days from the date of filing of such confirmation (Section 12).

The certificate issued by the Registrar shall be conclusive evidence that all the requirements of this Act with respect to change of registered office have been complied with and the change shall take effect from the date of the certificate.

If any default is made in complying with any of the aforesaid requirements, the company and every officer who is in default shall be liable to a penalty of one thousand rupees for every day during which the default continues but not exceeding one lakh rupees.

5.4-2c CHANGE OF REGISTERED OFFICE FROM ONE STATE TO ANOTHER STATE - Section 13 contains provisions with respect to the shift of the registered office from one State to another. You should note that shift of registered office from one premise to another within the same city/town/village or even from one city to another but within the same State does not involve alteration of memorandum. It's because, in the memorandum only the name of the State where registered office shall be located is mentioned. Shift of registered office from one State to another will involve alteration of memorandum and, therefore, requires a more elaborate procedure to be followed.

Registered office of a company can be shifted from one State to another by :

1. Passing special resolution.

   Thus, where company shifted its registered office from one State to another without issuing notice to its shareholder holding substantial shares (15.26%) in company, shifting of office was held to be illegal - *Shabbir Ahmed* v. *Safedabad Cold Storage & Allied Industries (P.) Ltd.* [2017] 80 taxmann.com 46 (NCLT - Kolkata)

2. Settlement of the list of creditors including debenture holders;
3. Obtaining the consent of the creditors and in case any creditor or creditors object, his debt or claim should be discharged or determined or secured to the satisfaction of the Central Government;
4. Obtaining confirmation from the Central Government.
5. Notice of Change of the registered office, verified in the manner prescribed, to be given to ROC within 30 days of the change.

Obtaining confirmation from the Central Government

For obtaining confirmation from the Central Government, Rule 30 of the Companies (Incorporation) Rules, 2014, as amended *vide* MCA Notification dated 27-7-2017, provides that an application shall be filed with the Central Government in

Form No. INC-23 along with the prescribed fee along with the fee and shall be accompanied by the following documents, namely[9]:

- a copy of Memorandum of Association, with proposed alterations;
- a copy of the minutes of the general meeting at which the resolution authorizing such alteration was passed, giving details of the number of votes cast in favour or against the resolution;
- a copy of Board Resolution or Power of Attorney or the executed Vakalatnama, as the case may be.

Besides, there shall be attached to the application, a list of creditors and debenture holders, drawn up to the latest practicable date preceding the date of filing of application by not more than one month, setting forth the following details, namely:—

- the names and address of every creditor and debenture holder of the company;
- the nature and respective amounts due to them in respect of debts, claims or liabilities:

However, the list of creditors and debenture holders, accompanied by declaration signed by the Company Secretary of the company, if any, and not less than two directors of the company, one of whom shall be a managing director, where there is one, stating that

1. They have made a full enquiry into the affairs of the company and, having done so, have concluded that the list of creditors are correct, and that the estimated value as given in the list of the debts or claims payable on a contingency or not ascertained are proper estimates of the values of such debts and claims and that there are no other debts of or claims against the company to their knowledge, and
2. No employee shall be retrenched as a consequence of shifting of the registered office from one state to another state and also there shall be an application filed by the company to the Chief Secretary of the concerned State Government or the Union territory.
3. A duly authenticated copy of the list of creditors shall be kept at the registered office of the company and any person desirous of inspecting the same may, at any time during the ordinary hours of business, inspect and take extracts from the same on payment of a sum not exceeding ten rupees per page to the company.
4. There shall also be attached to the application a copy of the acknowledgement of service of a copy of the application with complete annexures to the Registrar and Chief Secretary of the State Government or Union territory where the registered office is situated at the time of filing the application.
5. The company shall, not more than thirty days before the date of filing the application in Form No. INC.23—

9. The Companies (Incorporation) (Second Amendment) Rules, 2017.

- advertise in the **Form No. INC.26** in the vernacular newspaper in the principal vernacular language in the district and in English language in an English newspaper with the widest circulation in the state in which the registered office of the company is situated:

  However, a copy of advertisement shall be served on the Central Government immediately on its publication.

- serve, by registered post with acknowledgement due, individual notice, to the effect set out in clause (*a*) on each debenture-holder and creditor of the company; and

- serve, by registered post with acknowledgement due, a notice together with the copy of the application to the Registrar and to the Securities and Exchange Board of India, in the case of listed companies and to the regulatory body, if the company is regulated under any special Act or law for the time being in force.

6. There shall be attached to the application a duly authenticated copy of the advertisement and notices issued under sub-rule (5), a copy each of the objection received by the applicant, and tabulated details of responses along with the counter-response from the company received either in the electronic mode or in physical mode in response to the advertisements and notices issued under sub-rule (5).

7. Where no objection has been received from any person in response to the advertisement or notice under sub-rule (5) or otherwise, the application may be put up for orders without hearing and the order either approving or rejecting the application shall be passed within fifteen days of the receipt of the application.

8. Where an objection has been received,

   - the Central Government shall hold a hearing or hearings, as required and direct the company to file an affidavit to record the consensus reached at the hearing, upon executing which, the Central Government shall pass an order approving the shifting, within sixty days of filing the application.

   - where no consensus is reached at the hearings the company shall file an affidavit specifying the manner in which objection is to be resolved within a definite time frame, duly reserving the original jurisdiction to the objector for pursuing its legal remedies, even after the registered office is shifted, upon execution of which the Central Government shall pass an order confirming or rejecting the alteration within sixty days of the filing of application.

9. The order passed by the Central Government confirming the alteration may be on such terms and conditions, if any, as it thinks fit, and may include such order as to costs as it thinks proper:

   However, the shifting of registered office shall not be allowed if any inquiry, inspection or investigation has been initiated against the company or any prosecution is pending against the company under the Act.

10. On completion of such inquiry, inspection or investigation as a consequence of which no prosecution is envisaged or no prosecution is pending, shifting of registered office shall be allowed.

The aforesaid information must, by way of an affidavit, be signed by the Company Secretary of the company, if any, and not less than two directors of the company, one of whom shall be a managing director.

Again, there shall also be attached to the application an affidavit from the directors of the company that no employee shall be retrenched as a consequence of shifting of the registered office from one State to another State.

There shall also be attached to the application a copy of the acknowledgement of service of a copy of the application with complete annexure to the Registrar and Chief Secretary of the State where the registered office is situated at the time of filing the application.

The company must also keep a duly authenticated copy of the list of creditors at the registered office.

Where any objection of any person whose interest is likely to be affected by the proposed application has been received by the applicant, it shall serve a copy thereof to the Central Government on or before the date of hearing.

Where no objection has been received from any of the parties, who have been duly served, the application may be put up for orders without hearing.

Order of Confirmation

Rule 30, read along with Section 13(5) provides that before confirming the alteration, the Central Government shall ensure that, with respect to every creditor and debenture holder who, in the opinion of the Central government, is entitled to object to the alteration, and who signifies his objection in the manner directed by the Central Government, either his consent to the alteration has been obtained or his debt or claim has been discharged or has determined, or has been secured to the satisfaction of the Central Government.

The Central Government may make an order confirming the alteration on such terms and conditions, if any, as it thinks fit, and may make such order as to costs as it thinks proper.

You may note that the shifting of registered office shall not be allowed if any inquiry, inspection or investigation has been initiated against the company or any prosecution is pending against the company under the Act.

However, on completion of such inquiry, inspection or investigation as a consequence of which no prosecution is envisaged or no prosecution is pending, shifting of registered office shall be allowed.

Sub-section (5) of Section 13 provides that the Central Government shall dispose of the application under sub-section (4) within a period of sixty days.

Filing of order of the Central Government with the Registrar

Section 13(7) read along with Rule 30 of the Companies (Incorporation) Rules, 2014 requires a certified copy of the order of the Central Government approving the alteration to be filed by the company with the Registrar of each of the States within a period of 30 days, who shall register the same, and the Registrar of the State where the registered office is being shifted to, shall issue a fresh certificate of incorporation indicating the alteration.

5.4-3 Change in Objects Clause

Discussion on alteration of objects may be divided into :

1. Alteration of objects by a company which has not issued a prospectus
2. Alteration of objects by a company which has issued a prospectus

1. Alteration of objects by a company which has not issued a prospectus

A company which has not issued a prospectus may change its objects by passing special resolution. The special resolution is required to be passed by postal ballot except in case of OPCs and other companies having members up to 200 [Rule 22(16) of the Companies (Management and Administration) Rules, 2014

2. Alteration of objects by a company which has issued a prospectus

Section 13(8) read along with Rule 32 of the Companies (Incorporation) Rules, 2014 provides that a company, which has raised money from public through prospectus and still has any unutilised amount out of the money so raised, shall not change its objects for which it raised the money through prospectus unless a special resolution through postal ballot* is passed by the company.

Besides,

I. The notice in respect of the resolution for altering the objects shall contain the following particulars :

(*i*) total money received;

(*ii*) total money utilized for the objects stated in the prospectus;

(*iii*) unutilized amount out of the money so raised through prospectus,

(*iv*) particulars of the proposed alteration/change in the objects;

(*v*) justification for the alteration/change in the objects;

(*vi*) amount proposed to be utilized for the new objects;

(*vii*) estimated financial impact of the proposed alteration on the earnings and cash flow of the company;

(*viii*) other relevant information which is necessary for the members to take an informed decision on the proposed resolution;

(*ix*) place from where any interested person may obtain a copy of the notice of resolution to be passed.

II. The advertisement giving details of each resolution to be passed for change in objects shall be published in the newspapers (one in English and one in vernacular language) which are in circulation at the place where the registered office of the company is situated.

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*Requirement of passing of resolution through postal ballot is not applicable to a company having members up to 200 [Rule 22(16) of the Companies (Management and Administration) Rules, 2014].

III. The advertisement shall be published simultaneously with the dispatch of postal ballot notices to shareholders.

IV. The notice shall also be placed on the website of the company, if any, indicating therein the justification for such change.

V. The dissenting shareholders shall be given an opportunity to exit by the promoters and shareholders having control in accordance with regulations to be specified by the Securities and Exchange Board.

VI. The Registrar shall register the alteration of the memorandum with respect to the objects of the company and certify the registration within a period of thirty days from the date of filing of the special resolution.

5.4-4 Change in Liability Clause

It appears that the Companies Act, 2013 or the Rules made thereunder do not contain any provisions with respect to the alteration of liability clause. However, since the relationship between a member and the company is a contractual relationship, the liability of a member of a company cannot be increased unless the member agrees in writing. The consent of the member may, however, be given either before or after the alteration. Increase in liability may be by way of subscribing for more shares than the number held by him at the date on which the alteration is made or in any other manner.

In case of unlimited liability company, the liability may be made limited or reduced by re-registration of the company (Section 18). The alteration will, however, not affect any debts, liabilities, obligations or contracts entered into by or with the company before the registration of the unlimited company as a limited company [Sec. 18(3)].

5.4-5 Alteration of Capital Clause

Section 61 provides that, if the articles authorise, a company limited by share capital may, by an ordinary resolution passed in general meeting, alter the conditions of its memorandum in regard to capital so as—

1. to increase its authorised share capital by such amount as it thinks expedient by issuing fresh shares;
2. to consolidate and divide all or any of its share capital into shares of larger amount than its existing shares;
3. to convert all or any of its fully paid-up shares into stock, and reconvert that stock into fully paid-up shares of any denomination;
4. to sub-divide its shares, or any of them, into shares of smaller amount than fixed by the memorandum, but the proportion of paid and unpaid on each share must remain the same;
5. to cancel shares which, at the date of the passing of the resolution in that behalf, have not been taken or agreed to be taken by any person and thus diminish the amount of its share capital by the amount of the shares so cancelled.

These five clauses are now explained.

1. *Increase of authorised share capital*: A company, limited by shares, if the articles authorise, can increase its authorised share capital by passing a resolution in its general meeting.

Within 30 days of the passing of the resolution, a notice of increase in the share capital along with an altered memorandum must be filed with the Registrar of Companies.

If default is made in filing the notice, the company and every officer of the company who is in default shall be punishable with fine up to Rs. 500 per day* during which the default continues, subject to a maximum of Rs. 5,00,000 in case of a company and Rs. 1,00,000 in case of an officer who is in default. (Sec. 64).

In *Amison Foods Limited* v. *Registrar of Companies* [1999] 19 SCL 82 (Ker.), the Kerala High Court held that the subsequent cancellation of the resolution to increase the share capital could not absolve the petitioners from their liability to file the prescribed form along with the prescribed fee before the Registrar of Companies within 30 days of adoption of resolution to increase the share capital.

Section 97 (now section 64) will apply when increase in share capital is a consequence of scheme of amalgamation - *Shaily Engineering Plastics Ltd., In re* [2003] 42 SCL 115 (Bom.).

2. *Consolidation and sub-division of shares***: Consolidation is the process of combining shares of smaller denomination. *For instance,* 10 shares of Rs. 10 each may be consolidated into one share of Rs. 100.

Sub-division of shares is just the opposite of consolidation *e.g.,* one share of Rs. 100 may be divided into 10 shares of Rs. 10 each.

Once a resolution has been passed, a copy of the resolution is required to be sent within thirty days to the Registrar of Companies.

Case Law: In Simpson and Co. Ltd., In re [2021] 130 taxmann.com 329 (NCLT-Chennai)

Facts of the Case

Applicant/petitioner-company filed instant petition to consolidate its shares into shares of a larger amount than their existing amount. Applicant sought approval for confirmation and reduction of capital if any consequent to consolidation of shares and stated that change in voting percentage was meagre and would not even remotely tilt any decision of shareholders, apart from bringing down number of shareholders. It was found that majority of 99.86 per cent shareholders of applicant-company approved resolution and only 0.14 per cent had voted against special resolution for consolidation and reduction. Objectors filed objections against valuation of shares.

* *Vide* Companies (Amendment) Act, 2020.

** You may note that consolidation and sub-division of shares is considered as an arrangement under section 230 of the Act and accordingly will require the procedure specified thereunder to be complied with.

Decision:

Held that since valuation of shares had been done by registered valuers and appropriateness of value had been confirmed by a SEBI approved valuer, objections were irrelevant in present circumstances of case and deserved to be discarded. Thus, consolidation of shares as prayed for was free from any legal infirmities and fell within contours of section 61(1)(*b*) Therefore, consolidation of share capital of applicant-company was confirmed .

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3. *Conversion of shares into stock and* vice versa: Stock is simply a set of fully-paid up shares put together and is transferable in any denomination or fraction. On the other hand, a share is transferable as a whole; it cannot be split into parts. For example, a share of Rs. 10 can be transferred as a whole; it cannot be transferred in parts. But if 10 shares of Rs. 10 each fully paid are converted into stock, of Rs. 100, then the stockholder can transfer stock, say, worth Rs. 17 also.

Section 61 empowers a company to convert its fully paid-up shares into stock by passing a resolution in general meeting, if its articles authorise such conversion. A notice is to be filed with the Registrar within thirty days of the passing of the resolution specifying the shares so converted.

It is to be noted that stock cannot be issued in the first instance. It is necessary to first issue shares and have them fully paid-up and then convert them into stock. Also, stock can be reconverted into fully paid-up shares by passing a resolution in general meeting.

When shares are converted into stock, the shareholders are issued stock certificates. In the Register of Members, the amount of stock is written against the name of a particular member in place of number of shares. The stockholder is as much a member of the company as a shareholder.

4. Diminution of share capital: Sometimes, it so happens that shares are issued, but are not taken up by the members of the public and, therefore, not allotted. Section 61 provides that a company may, if its articles authorise, by resolution in general meeting, cancel shares which at the date of the passing of the resolution in that behalf have not been taken or agreed to be taken by any person and diminish the amount of the share capital by the amount of the shares so cancelled. This constitutes diminution of capital and should be distinguished from reduction of capital which is discussed under Chapter on 'Share capital'.

Test your knowledge

[Questions have been selected from past examinations of C.A. (Inter)/ PE-II/PCC/Final, C.S. (Inter)/Final, ICWA (Inter)]

1. Comment on the following :

   "Alteration of any provision of the memorandum of association invariably involves passing of special resolution."

2. Comment on the following :

   "The memorandum of association is an unalterable charter of a company".

3. Examine the following statement :

   "The doctrine of *ultra vires* is an illusory protection to the shareholders and a pitfall to the outsiders."

4. Discuss the legal significance of the 'Registered Office' clause in the memorandum of association. Indicate the steps to be taken by a company to effect changes in the location of its registered office in different situations.

5. "A company cannot alter the conditions contained in its memorandum except in cases, in the mode and to the extent for which express provision is made in the Act." Amplify.

6. "The memorandum of a company is its charter of existence." Discuss. Set out in detail the various clauses which must be incorporated in the company's memorandum.

7. "The memorandum of association of a company is its charter and defines the limitations of the powers of the company.......... it contains in it both that which is affirmative and that which is negative". Discuss.

8. (*a*) What do you mean by alteration of share capital ?

   (*b*) What formalities should a company follow to alter its share capital ?

9. Discuss the provisions of the Companies Act with regard to alterations of objects of the company contained in its memorandum of associations.

10. Explain the procedure, as provided in the Companies Act, 2013 for change of registered office of a company from one State to another.

11. Briefly explain the doctrine of *ultra vires*. What are the consequences of *ultra vires* acts of the company?

12. "The doctrine of *ultra vires* is a protection to the shareholders of a company". Comment.

13. When shall the shifting of registered office of a company require alteration of Memorandum of Association ? State the procedure for effecting such an alteration.

PRACTICAL PROBLEMS

1. The object clause of the Memorandum of a company empowers it to carry on distillery business and any other business that is allied to it. The company wants to alter its Memorandum so as to include the cinema business in its objects clause. Advise the company.

   Hints : *Refer Para 5.4-3*

2. Advise 'Asiatic Government Security Life Insurance Co. Ltd.' whether it can seek an injunction against 'The New Asiatic Insurance Co. Ltd.' which was subsequently formed restraining it from having in its name the word 'Asiatic' on the ground that it has caused confusion and can deceive the public.

   Hints : The Companies Act, 2013 permits the promoters of a company to choose any suitable name for the company provided the name chosen is not undesirable.

   A name may be considered undesirable where it is too similar to the name of an already existing company. In the present problem since the two companies are in insurance business, it may lead to a natural inference on the part of the public that the two are inter-related because of the word 'Asiatic' which is quite an imaginary word and does not mean anything. Mere addition of the word 'New' is not likely to give an impression that the two companies are different. Therefore, on a suit by Asiatic Government Security Life Insurance Co. Ltd. Court is likely to advise the New Asiatic Insurance Co. Ltd., to change its name and remove the word 'Asiatic' therefrom.

3. The main object of a company is to manufacture cement. Seeing the potential for new business, the Board of Directors decided to go in for manufacture of steel and steel related products. These are included in the 'Other objects' of the company. Can the company undertake the aforesaid new business? Discuss.

   Hints : *Refer Para 5.4-3*